

NANYANG TECHNOLOGICAL UNIVERSITY
School of Social Sciences
HE3002 Macroeconomics III

PROBLEM SET 3
Balance of Payments and the Current Account

1. Describe how each of the following transactions affects the US Balance of Payments. (Recall that each transaction gives rise to two entries in the balance-of-payments accounts.)
 - (a) Jinill Park's mother, a resident of South Korea, pays her son's tuition to Columbia University via a direct deposit.
 - (b) Columbia University buys several park benches from Spain and pays with a \$120,000 check.
 - (c) Floyd Townsend, of Tampa Florida, buys 5,000 dollars worth of British Airlines stock from Citibank New York, paying with US dollars.
 - (d) A French consumer imports American blue jeans and pays with a check drawn on J.P. Morgan Chase Bank in New York City.
 - (e) An American company sells a subsidiary in the United States and with the proceeds buys a French company.
 - (f) A group of American friends travels to Costa Rica and rents a vacation home for \$2,500. They pay with a US credit card.
 - (g) The US sends medicine, blankets, tents, and nonperishable food worth \$400 million to victims of an earthquake in a foreign country.
2. Indicate whether the following statements are true, false, or uncertain and explain why.
 - (a) The fact that over the past quarter century the US has run larger and larger current account deficits is proof that American household savings have been shrinking.
 - (b) Saving is a stock variable.
 - (c) The reduction in the current account in Greece from 2008 to 2018 means that citizens in Greece are better off.
 - (d) The national income identity implies that budget deficits cause trade deficits.